

Who Pays for Senior Tax Exemptions?

Brainstorming Document

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The Idea

Conway and Rork (2012) show state income tax exemptions for seniors don't attract migrants. We ask: who pays for them anyway?

If exemptions don't attract seniors but do cost revenue, the burden falls entirely on existing residents—through higher taxes or reduced services. The fiscal competition justification fails, but the fiscal cost remains.

Variation: Use Conway's policy coding (state-level changes in senior income tax treatment).

New LHS: Budget outcomes—tax rates on other groups, spending levels, budget composition.

1 Magnitude Check: Are We Powered?

1.1 How Big Are Senior Income Tax Exemptions?

What we think we know (needs verification):

- 41 states exempt Social Security benefits entirely
- ~7% of state income tax revenue goes to senior exemptions (source?)
- Some states also exempt pension income, IRA distributions, etc.

BOTEC:

- Total state income tax revenue (2023): ~\$500 billion
- If 7% goes to senior exemptions: ~\$35 billion nationally
- Average state: ~\$700 million/year
- But highly variable—states with no income tax contribute zero; high-tax states contribute more

As share of state budgets:

- Average state general fund: ~\$20–30 billion
- \$700M / \$25B = 2.8% of general fund
- Not trivial, but not 10%

TODO: Verify these numbers. Find actual estimates of senior income tax expenditures by state.

1.2 Power Concerns

If senior exemptions are 2–3% of state budgets, can we detect offsetting changes in taxes or spending?

Optimistic case: A state expanding senior exemptions by 1pp of budget should show up as either:

- 1pp higher taxes elsewhere, or
- 1pp lower spending somewhere, or
- Some combination

Pessimistic case: State budgets are noisy. Many things change simultaneously. A 1–2% shift may be hard to detect, especially with limited policy variation (how many states changed senior exemptions in Conway’s sample?).

What helps:

- Panel data over multiple decades (more observations)
- Sharp policy changes (discrete events, not gradual drift)
- Pre-trends analysis (did budgets diverge before the policy change?)

2 Framing Different Findings

2.1 Finding: Self-Financing (Null on Budget)

Senior exemptions don’t change taxes or spending levels.

Interpretation: States absorb the cost through:

- Revenue growth (economy expands, new revenues offset exemption cost)
- Efficiency gains (cut waste rather than services)
- Deficit financing / rainy day fund drawdowns

Policy implication: Exemptions are “free” in equilibrium—no visible losers.

Problem with this finding: Hard to publish a null. Also, “absorbed through revenue growth” is unsatisfying—the counterfactual is that revenue growth could have funded something else.

2.2 Finding: Education Spending Falls

States that expand senior exemptions cut education spending.

Interpretation: Intergenerational conflict. Seniors vote for tax breaks for themselves, financed by reduced investment in children.

Why education?

- Largest discretionary category in most state budgets
- Seniors don't directly benefit
- Politically easier to cut than Medicaid (federal matching) or public safety

Policy implication: Senior exemptions have hidden costs borne by future generations.

Literature connection: “Gray peril” hypothesis—aging populations underinvest in education. This would be causal evidence.

2.3 Finding: Other Taxes Rise

States that expand senior income tax exemptions raise property taxes, sales taxes, or income taxes on non-seniors.

Interpretation: Tax shifting. The exemption doesn't reduce total tax burden; it shifts who pays.

Which taxes?

- Property taxes: States could reduce aid to localities, forcing property tax increases
- Sales taxes: Regressive; burden falls on low-income households
- Income taxes on working-age: Direct substitution within same tax base

Policy implication: Senior exemptions are a transfer from [X] to seniors, not a tax cut.

2.4 Finding: Nothing Detectable (True Null)

No measurable effect on any budget category.

Interpretation options:

- Effects too small / diffuse to detect (power problem)
- Effects spread across many categories (no single category moves enough)
- States adjust on margins we don't observe (hiring freezes, deferred maintenance)

What to do: Report confidence intervals. “We can rule out effects larger than X% of spending.”

3 Identification Concerns

Endogeneity: States don't randomly adopt senior exemptions. They adopt when:

- Senior population is large/growing (political pressure)
- Budgets are flush (can afford it)
- Competing with neighbors for retirees

These confounders correlate with budget outcomes directly.

Conway's approach: State fixed effects + time fixed effects. Identifies off within-state changes over time. But still vulnerable to time-varying confounders (states adopt exemptions during booms, then cut spending during busts—but the bust caused both).

Possible improvements:

- Event study with pre-trends (did spending already diverge before adoption?)
- Instrument? (Hard to think of one)
- Synthetic control for individual large policy changes

4 Data Requirements

Policy variation: Need Conway's coding of state senior income tax treatment, or reconstruct it.

- Social Security exemption (full, partial, none)
- Pension income exemption
- Other senior-specific provisions
- Timing of changes

Budget data: Census of Governments / Annual Survey of State and Local Government Finances

- State tax revenue by source (income, sales, property)
- State spending by category (education, health, infrastructure)
- State aid to local governments

Controls:

- Demographics (age structure, income)
- Economic conditions (unemployment, GDP growth)
- Political variables (governor party, legislature composition)

5 Next Steps

1. **Verify magnitudes:** Find actual estimates of senior income tax expenditures by state. Is this 2% of budgets or 5%?
2. **Get Conway's data:** Check if policy coding is available in appendix/replication files. If not, reconstruct from Tax Foundation or CCH state tax guides.
3. **Count policy changes:** How many states changed senior income tax treatment in the relevant period? Is there enough variation?
4. **Preliminary budget analysis:** Do simple pre/post comparisons for a few large policy changes to see if anything moves.

6 Honest Assessment

This is a harder identification problem than the Florida capitalization question. State budgets are noisy, policy changes are endogenous, and the magnitude may be too small to detect.

But the question is more interesting: “Who pays for senior tax breaks?” has broader policy relevance than “Do property tax exemptions capitalize?”

The Conway null on migration is the setup. If exemptions don't attract seniors, they're pure transfers—and documenting who loses is valuable.